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Beware the unintended consequences of mansion tax

Putting the brake on renovations and extensions, more family house swaps ... homeowners are bound to change their plans to avoid paying the new surcharge

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The government's new high-value council tax surcharge (HVCTS), or the mansion tax, as it's known, is a clever tax that will be difficult to avoid without selling up and investing abroad.

With the charge not effective until April 2028, we may see property owners trying to reduce their home's value or overall council tax liability to fall below the various thresholds.

While all tax issues and legal ramifications should be looked at holistically, examples of their efforts could include reducing the number of bedrooms or putting off lease extensions and improvement works, including improving the EPC rating — so long as the cost of heating the home doesn't outweigh the tax.

Conversely, properties with easements, flying and creeping



Houses with additional planning permissions tend to be worth more, so we may also see fewer planning applications for extensions, but more for subdividing houses into more than one unit.

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Family house swaps may also increase. Consider an asset-rich, cash-poor granny living in a house that has gone up significantly in value, but with only a modest income to sustain her. If she wants to continue living in the property, she could lease it (on a rent-free basis) to a family member who will eventually succeed her. This suppresses the property's value and avoids her having to rely on a potential, narrowly targeted government deferment relief.

Alternatively, if it is time to downsize, a property swap with a younger family member could pass the valuable property (and its problematic taxes) on to someone else. Granny and grandchild would both pay stamp duty and Granny would need to think about inheritance tax. She may be making a potentially



the spring, now is the time to think creatively and put forward sensible measures. Rural property valuations, for example, may include surrounding fields, barns and ancillary buildings that could push a home into a relevant band. While property owners may seek to divide their property into constituent elements (house/garden versus land/outbuildings transferred to an entity they own), lobbying for targeted relief or exemptions is a more sensible approach than for property owners to develop these structures.

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The government has mooted that a support scheme will be put in place for those who struggle to pay the charge. While it is understood that this relief will be targeted, the government will need to address concerns that the annual earnings limit to satisfy this may be set too low.

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While readers may wonder why anyone would try to reduce their home’s value just to avoid a £7,500 liability (the proposed top charge, for properties worth more than £5 million), there are a number of eventualities which could bring this surcharge closer to the charges on the annual tax on enveloped dwellings (ATED), a tax on residential properties worth more than £500,000 which are owned by a corporate entity. Like council tax, it is calculated on bands based on the property’s value, and ranges from £4,450 a year to £292,350 a year for properties valued at more than £20 million. HVCTS charges could reach a similar level if the liability increases at a rate higher than inflation, if the bands narrow, and if higher bands are introduced over time.

After all, introducing a new tax destined to raise only £430 million a year from 2028 does seem a strange use of HMRC and Treasury resources.

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